Notes: Reuter & Zitzewitz (QJE, 2006)

Do Ads Influence Editors? Advertising and Bias in the Financial Media

Contents

1 Big picture

- **Question.** Do financial media outlets bias mutual fund recommendations toward advertisers?
- **Core setting.** The paper studies positive and negative mutual fund mentions in three personal finance publications, two national newspapers, and Consumer Reports from 1996–2002.
- **Key empirical contrast.** Advertising is positively related to fund recommendations in personal finance magazines but not in the Wall Street Journal, New York Times, or Consumer Reports.
- **Main bias test.** The authors ask whether a fund family that recently advertised in a publication is more likely to have one of its funds mentioned in that publication, controlling for fund performance, fees, flows, size, Morningstar ratings, load status, total advertising, and investment-objective-by-month fixed effects.
- **Main result.** Own-publication advertising predicts positive fund mentions in Money, Kiplinger's, and SmartMoney. The relation is strongest for positive mentions and is absent for negative mentions.
- **Investor response.** Positive mentions generate economically large inflows. A single positive mention is associated with subsequent inflows of roughly 7–15 percent of assets over the next year, depending on the publication and specification.
- **Investor welfare.** Positive mentions do not predict superior future fund returns. However, the returns of funds likely to be mentioned absent advertising bias are similar to the returns of actually mentioned funds, suggesting the direct cost of bias to readers is small.
- **Important nuance.** Publications could have done better by recommending low-expense funds. The main welfare loss is therefore not only that advertisers get favored but that recommendations as a whole do not strongly identify high-return funds.
- **Interpretive takeaway.** Advertising can influence editorial content when recommendations confer valuable investor flows and when reputational costs of bias are limited.

2 Incremental contribution of the paper

2.1 Contribution relative to media-bias research

- Earlier media-bias research focused heavily on political slant, ideological filtering, or access journalism.
- This paper studies a different channel: advertiser influence over product recommendations.
- The paper moves the media-bias literature from political content to consumer finance content, where advertisers have a direct monetary stake in editorial mentions.
- It provides a clean empirical environment because mutual funds have measurable characteristics, objective performance histories, expenses, and future returns.

Interpretation: The paper is important because it isolates a commercial conflict of interest in media markets. It shows that editorial independence can fail even without political ideology or government pressure.

2.2 Contribution relative to mutual fund and investor-flow research

- Mutual fund research had documented investor flows responding to past performance, fees, Morningstar ratings, and distribution channels.
- This paper adds media mentions as an investor-demand shock.
- It shows that fund recommendations generate flows, which makes editorial mentions valuable to fund families.

- It also shows that positive recommendations do not forecast future returns, so investor response to media mentions is not obviously justified by performance information.

Interpretation: The paper links mutual fund flows to media economics: if investors chase recommendations, publications have valuable favors to allocate.

2.3 Contribution relative to advertising and product-review research

- Advertising can be informative, persuasive, or a signal of quality. It can also create conflicts when advertisers are reviewed by the same outlet.
- The paper separates general advertising by a fund family from advertising in a particular publication.
- The key evidence is not merely that advertisers are mentioned more. It is that advertising in a given publication predicts mentions in that same publication after controlling for total advertising and observable fund quality.

Interpretation: The incremental contribution is the publication-specific design. It makes the pro-advertiser interpretation more credible than a simple correlation between advertising and quality.

2.4 Contribution relative to conflicts-of-interest research

- Prior finance research studied conflicts of interest among sell-side analysts, investment banks, and intermediaries.
- Reuter and Zitzewitz show that a similar conflict can appear in editorial recommendations.
- Unlike analyst research, the paper also measures reader/investor response and evaluates future returns to assess the cost of bias.

Interpretation: The paper treats financial journalism as an intermediary with conflicts of interest, similar to analysts or brokers, but with a distinct advertising revenue channel.

3 Data and measurement

3.1 Media mention data

- The authors hand-collect mutual fund mentions from five major financial media outlets and Consumer Reports.
- The sample includes the Wall Street Journal, New York Times, Money, Kiplinger's Personal Finance, SmartMoney, and Consumer Reports.
- Mentions are classified as positive, negative, or news-oriented depending on the article type and language.
- Personal finance magazines contain both recurring fund recommendation lists and individual fund or family articles.
- Newspaper mentions include general news and fund-related coverage, not necessarily recommendation lists.

Interpretation: Hand collection is necessary because the relevant object is not any media reference to a fund, but editorial content that may influence fund selection by retail investors.

3.2 Mutual fund sample

- The mutual fund universe is drawn from the CRSP Survivor-Bias-Free U.S. Mutual Fund Database.
- The sample excludes money market funds because they are rarely discussed in the publications studied.
- Multiple share classes are aggregated to the fund level.
- Fund characteristics include returns, net flows, expense ratios, loads, 12b-1 fees, assets, family assets, and Morningstar ratings.
- The unit of observation in the mention regressions is fund-month.

Interpretation: The fund-level panel allows the authors to compare funds within the same objective and month, using observable characteristics that editors should rationally care about.

3.3 Advertising data

- Mutual fund advertising expenditures are measured at the fund-family level.
- The paper distinguishes advertising in each specific publication from total print and nonprint advertising.
- The key explanatory variable is own-publication advertising by the fund family over the prior twelve months.
- Total advertising controls for broad family visibility or general quality differences associated with advertising intensity.

Interpretation: Publication-specific lagged advertising is the central variable. It asks whether a publication favors its own advertisers, not simply whether advertisers are different from nonadvertisers.

3.4 Future flows and returns

- The flow analysis measures net mutual fund flows over months following a media mention.
- The return analysis measures fund returns relative to equal-weighted peers in the same investment objective.
- The paper also evaluates alphas using CAPM, four-factor, and seven-factor models for portfolios formed from mentioned or predicted-mentioned funds.

Interpretation: The flow results measure why fund families might care about editorial mentions. The return results measure whether readers benefit from following recommendations.

4 Empirical specifications

4.1 Predicting media mentions

The main mention regression is:

$$\text{Mention}_{i,t} = \alpha + \gamma \text{Ad}^{OwnPub}_{f(i),p,t-1} + \beta' Z_{i,t-1} + \delta_{k,t} + \varepsilon_{i,t}. \tag{1}$$

- $\text{Mention}_{i,t}$ equals one if fund i receives a specified type of media mention in month t.
- $\text{Ad}^{OwnPub}_{f(i),p,t-1}$ is lagged advertising by fund i's family in publication p.
- $Z_{i,t-1}$ contains lagged fund and family controls.
- $\delta_{k,t}$ are investment-objective-by-month fixed effects.
- The coefficient of interest is γ.

Interpretation: The objective-month fixed effects compare funds that belong to the same investment category at the same time. This removes broad editorial choices about which categories to cover.

4.2 Instrumental variable robustness

Because advertising is endogenous, the paper also estimates linear probability models instrumenting own-publication advertising with predicted advertising based on other publications and fund characteristics.

$$\mathrm{Ad}_{f,p,t}^{OwnPub} = \pi_0 + \pi_1 \widehat{\mathrm{Ad}}_{f,p,t}^{OwnPub} + \pi_2' Controls_{f,t} + u_{f,p,t}. \tag{2}$$

Interpretation: The IV exercise is a robustness check. It asks whether the own-publication advertising effect persists when advertising is predicted from variables plausibly less directly tied to the publication's editorial choice.

4.3 Fund flow regressions

The flow regression is:

$$\mathrm{Flow}_{i,t:t+11} = \alpha + \theta \mathrm{Mention}_{i,t-1} + \beta' Z_{i,t-1} + \varepsilon_{i,t}. \tag{3}$$

- The dependent variable is cumulative net fund flow over the next twelve months.
- The main independent variable is whether the fund received a media mention in the prior month.
- Controls include lagged returns, flows, expense ratios, fund size, family size, and past mentions.

Interpretation: If media mentions attract flows, editorial bias benefits advertisers and creates an incentive for fund families to purchase advertising.

4.4 Future return regressions

The future return specification is:

$$\mathrm{Return}_{i,t:t+11}^{rel} = \alpha + \theta \mathrm{Mention}_{i,t-12:t-1} + \varepsilon_{i,t}. \tag{4}$$

The paper also forms portfolios based on mentioned and predicted-mentioned funds and estimates alphas.

Interpretation: The return tests ask whether recommendations identify funds with superior subsequent performance. They generally do not.

5 Identification and interpretation

5.1 Identification concern: advertiser quality

- Advertisers may be higher-quality funds that editors would recommend even absent advertising.
- To address this, the paper controls for returns, expenses, Morningstar ratings, size, flows, loads, fees, family size, and total advertising.
- It also includes investment-objective-by-month fixed effects to compare close substitutes.

Interpretation: The identifying assumption is that after conditioning on these controls, own-publication advertising is not merely proxying for unobserved fund quality.

5.2 Identification concern: reader demand

- Publications might mention advertisers because readers are already interested in advertised brands.
- The paper controls for total advertising and past mentions in other publications to address visibility and reputation.
- Consumer Reports and national newspapers provide comparison outlets where advertising relationships differ.

Interpretation: The finding that bias appears in personal finance magazines but not in newspapers or Consumer Reports supports the advertiser-influence interpretation.

5.3 Economic mechanism

- Fund families benefit because positive mentions increase inflows.
- Publications benefit because favoring advertisers may encourage advertising purchases.
- Bias is easiest when the reputational cost is small, which may be true if many advertiser funds are similar to nonadvertiser funds in observable quality.

Interpretation: The paper's mechanism is a quid-pro-quo-like alignment of incentives, though the authors do not need to prove explicit collusion.

5.4 Limitations

- The design is observational, not randomized.
- Advertising may still proxy for unobserved fund characteristics.
- The paper studies mutual funds and may not generalize to all media markets.
- Future returns are noisy, so absence of return predictability does not mean recommendations have no informational value in every case.

Interpretation: The evidence is strongest as a set of robust correlations consistent with advertising bias, combined with flow evidence showing why such bias is valuable.

6 Tables and figures

6.1 Table I: media mention sample

Read:

- Table I summarizes the hand-collected mention data from newspapers, personal finance magazines, and Consumer Reports.
- The data include positive and negative mentions, news articles, recommendation lists, within-asset-class articles, and single fund or family articles.
- SmartMoney and Kiplinger's have many more mentions than Money because they feature more frequent mutual fund content.

Economic message: The table shows why this setting is useful: there are many fund mentions across outlets and article types, allowing the authors to compare advertising and editorial content at the publication level.

TABLE I

SUMMARY OF HAND-COLLECTED MEDIA MENTION DATA, 1996–2002

Publication	Article type	Content/sample title	Nature	Frequency	Number of articles	Number of fund mentions
Wall Street Journal	"Fund Track" column	Industry news and issues	News	Daily	1096	3527
New York Times	"Investing With" column	Profile of funds and managers	Positive	Weekly	201	201
Money	"Money 100 List"	Recommended funds	Positive	Annual	5	500
Kiplinger's	All articles about funds			Varies	144	783
	General recommendations	"Best Funds to Buy Now"	Positive		31	295
		"Hall of Shame"	Negative		11	63
	Within-asset-class articles	"Six Ways to Own the World"	Positive		49	300
		"The Wild Bunch"	Negative		3	12
	Single fund/family articles	"Magellan's Driven Boss"	Positive		38	69
		"Is It Time to Leave Magellan?"	Negative		12	36
SmartMoney	All articles about funds			Varies	686	2417
	General recommendations	"Retire Ten Years Early"	Positive		232	1047
		"The Underachievers Club"	Negative		65	319
	Within-asset-class articles	"Four Great Energy Funds"	Positive		116	453
		"It's Not Easy Being Green"	Negative		46	188
	Single fund/family articles	"How Janus Got It's Groove Back"	Positive		171	279
		"What is Janus Thinking?"	Negative		56	115
Consumer Reports	Mutual fund review issue	Recommended funds	Positive	Annual	11	812

Media mention data were hand collected from the *Wall Street Journal, New York Times, Money, Kiplinger's, SmartMoney,* and *Consumer Reports*. Data from the *Wall Street Journal, New York Times, Money,* and *Consumer Reports* come from specific, recurring articles; data from *Kiplinger's* and *SmartMoney* come from the universe of articles that focus on mutual funds. In general, data cover the period January 1996 through December 2002, although data for *Money* and *Consumer Reports* cover shorter intervals because their mutual fund articles appear less frequently (as reported in Table II). The number of fund mentions only counts the first mention of each mutual fund within each article. Eight of the *Kiplinger's* mentions and sixteen of the *SmartMoney* mentions could not be classified as clearly positive or negative.

TABLE II

SUMMARY STATISTICS FOR MUTUAL FUNDS RECEIVING MEDIA MENTIONS, 1996–2002

Sample:	All	*WSJ*	*NYT*	*Money*	*Kiplinger's*		*SmartMoney*		*Consumer Reports*
Nature of mention:	funds	News	Positive	Positive	Positive	Negative	Positive	Negative	Positive
Fund-level media mentions		3,527	201	500	664	111	1,779	622	812
With ticker in CRSP		2,985	185	497	618	106	1,694	601	738
With ticker and lagged characteristics	319,006	2,634	170	474	520	106	1,527	542	707
Date first mention collected		Jan-96	Feb-96	May-98	Jan-96	Jan-96	Jan-96	Jan-96	Apr-97
Date last mention collected		Dec-02	Nov-02	Jul-02	Dec-02	Nov-02	Nov-02	Nov-02	Dec-02
Fund-level characteristics									
Ln fund TNA ($ millions)	4.90	6.89	5.87	7.48	6.77	6.15	6.87	6.59	6.76
Ln family TNA ($ millions)	8.98	10.03	8.67	9.67	9.22	8.95	9.66	9.70	9.72
Expense ratio (%)	1.29	1.27	1.35	1.07	1.07	1.84	1.20	1.50	0.91
12b-1 Fee (%)	0.21	0.17	0.18	0.11	0.09	0.12	0.15	0.19	0.02
Load fund dummy	0.55	0.45	0.49	0.28	0.23	0.38	0.41	0.54	0.19
Ln net flows over prior 12 months (%)	11.87	24.05	36.01	21.38	43.45	−14.35	41.29	3.77	22.10
Relative return over prior 12 months (%)	−0.21	12.15	15.30	1.68	8.63	−16.84	17.41	−1.33	6.52
Family advertising expenditures over prior 12 months divided by average family TNA									
Print advertising ratio (basis points)	0.91	1.42	1.00	0.85	0.99	1.64	1.83	0.92	1.11
Nonprint advertising ratio (basis points)	0.11	0.22	0.15	0.20	0.14	0.21	0.17	0.18	0.16
Share of print advertising by publication (%)									
Wall Street Journal	17.47	17.87	14.79	10.96	12.72	20.35	17.60	19.89	20.80
New York Times	4.28	3.95	4.46	3.17	3.08	2.11	3.72	4.89	4.35
Money	5.30	8.62	7.02	9.44	8.90	8.70	9.09	7.56	9.28
Kiplinger's	3.06	4.47	3.11	4.67	5.96	5.29	4.90	3.68	5.52
SmartMoney	2.09	3.49	2.16	3.76	3.52	5.08	4.12	2.95	3.91
Share of funds by broad asset class (%)									
General domestic equity	40.99	62.72	68.82	73.21	62.12	73.58	59.46	71.22	71.29
Specialized domestic equity	17.79	17.92	12.35	8.44	11.73	5.66	18.14	15.13	5.80
International/global equity	16.00	12.91	16.47	18.35	11.73	9.43	13.88	10.33	13.72
Bonds	25.22	6.45	2.35	0.00	14.42	11.32	8.51	3.32	9.19

This table compares the characteristics of U. S. mutual funds that receive media mentions to a sample of mutual funds for which the CRSP Mutual Fund Database reports all the lagged characteristics used in our analysis. We exclude money market funds and funds for which CRSP does not report a ticker for at least one share class. The unit of observation is fund i in month t. Mutual fund characteristics are aggregated across share classes. Because magazines are typically available in the month prior to the month stated on their cover, we code mentions in the month $t+1$ issue of *Money, Kiplinger's, SmartMoney,* or *Consumer Reports* as occurring in month t. (For example, we code the June 1998 issue of *Money* as occurring in May 1998.) We code mentions in the *Wall Street Journal* or *New York Times* in month t, as occurring in month t. For mentions in month t, we report fund characteristics as of month $t-1$. Because we do not observe advertising expenditures in 1995, the summary statistics for the lagged advertising ratios are reported for January 1997 through December 2002. The share of print advertising by publication is reported for the subset of funds belonging to families with positive advertising expenditures in one or more publication.

6.2 Table II: summary statistics for mentioned funds

Read:

- Funds receiving positive mentions tend to be larger and to come from larger families.
- Mentioned funds often have higher lagged returns, larger lagged flows, and more advertising by their families.
- Mentioned funds are less likely to charge loads and are concentrated in general domestic equity objectives.

Economic message: The table motivates the multivariate design. Raw mention patterns could reflect fund quality, visibility, and investor demand, not only advertising bias.

6.3 Table III: logit regressions predicting media mentions

Read:

- Table III estimates the main mention-prediction model separately for each publication and mention type.
- Own-publication advertising is positive and significant for positive mentions in Money, Kiplinger's, and SmartMoney.
- The same relation is absent or much weaker for newspapers and for negative mentions.

- The regressions include investment-objective-by-month fixed effects and rich fund-level controls.

Economic message: This table is the core advertising-bias evidence. Personal finance magazines are more likely to mention funds from their own advertisers.

TABLE III

LOGIT REGRESSIONS PREDICTING MEDIA MENTIONS, 1997–2002

Media mention in month t:	*WSJ*	*NYT*	*Money*	*Kiplinger's*		*SmartMoney*		*Consumer Reports*
Nature of mention:	News	Positive	Positive	Positive	Negative	Positive	Negative	Positive
Family-level advertising expenditures in millions of dollars ($t-12$ to $t-1$)								
Own-publication	0.004	−0.361	0.294***	0.819***	−0.220	0.730***	−0.015	
	(0.035)	(0.281)	(0.088)	(0.249)	(0.663)	(0.136)	(0.256)	
Total print	0.017*	0.017	−0.044**	−0.004	0.070***	−0.014	0.025**	0.026*
	(0.009)	(0.033)	(0.019)	(0.013)	(0.027)	(0.010)	(0.012)	(0.014)
Total nonprint	0.024	0.007	−0.045**	−0.019*	−0.045	−0.015	0.029**	0.039**
	(0.015)	(0.027)	(0.022)	(0.011)	(0.042)	(0.010)	(0.013)	(0.018)
Ln fund TNA ($t-1$)	0.551***	0.198***	1.041***	0.598***	0.645***	0.541***	0.504***	0.375***
	(0.036)	(0.063)	(0.093)	(0.080)	(0.126)	(0.038)	(0.053)	(0.052)
Ln family TNA ($t-1$)	−0.076	−0.138***	−0.313***	−0.283***	−0.174**	−0.147***	−0.082*	−0.091
	(0.051)	(0.051)	(0.061)	(0.057)	(0.078)	(0.056)	(0.043)	(0.067)
Expense ratio ($t-1$)	0.153***	0.170***	0.291***	0.172***	0.156***	0.146***	0.096***	−0.086
	(0.024)	(0.049)	(0.054)	(0.038)	(0.052)	(0.031)	(0.016)	(0.243)
12b-1 fee ($t-1$)	−0.366	−0.485	−1.204**	−0.950	−1.910**	−0.230	−0.136	−6.177***
	(0.257)	(0.337)	(0.521)	(0.827)	(0.934)	(0.341)	(0.253)	(1.037)
Load fund dummy ($t-1$)	−0.357***	0.049	−0.872***	−0.981***	−0.486	−0.277*	−0.020	−0.649***
	(0.124)	(0.173)	(0.246)	(0.300)	(0.314)	(0.144)	(0.162)	(0.256)
Ln net flows ($t-12$ to $t-1$)	0.101**	0.209***	0.157*	0.323***	−1.253***	0.293***	−0.363	0.451***
	(0.049)	(0.087)	(0.089)	(0.072)	(0.271)	(0.048)	(0.257)	(0.088)
Ln returns ($t-12$ to $t-1$)	0.526***	5.434***	−0.365	2.374***	−6.778***	2.512***	−4.406***	1.773***
	(0.122)	(1.026)	(0.338)	(0.573)	(2.384)	(0.416)	(0.583)	(0.583)
Ln returns squared ($t-12$ to $t-1$)	1.044***	−2.801***	−2.795***	0.187	−0.968	−0.331	−1.439**	−1.893*
	(0.111)	(1.087)	(1.024)	(0.630)	(0.915)	(0.412)	(0.669)	(0.988)
Include prior mentions in other publications ($t-12$ to $t-1$)?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Include Morningstar ratings?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Objective-by-month fixed effects	552	140	33	178	44	420	201	52
Sample size	197,350	71,515	13,645	74,880	20,814	154,052	79,139	19,261

Each column reports coefficients from a logit regression estimated for a particular media mention. We include a separate fixed effect for each investment objective each month. "Ln returns" ($t-1$ to t) is defined as the natural logarithm of one plus the return of fund i between months $t-1$ and t. "Ln net flows" ($t-1$ to t) is defined as Ln fund TNA (t) minus Ln fund TNA ($t-1$) minus Ln return ($t-1$ to t). Morningstar ratings from December of the prior year are used to create five dummy variables (corresponding to ratings between one and five stars). Since Morningstar ratings are awarded at the share class level, these dummy variables are then multiplied by the fraction of fund i's dollars under management that receive each rating. Standard errors cluster on mutual fund family and are reported in parentheses. Significance at the 10 percent, 5 percent, and 1 percent levels are denoted by *, **, and ***.

TABLE IV

PREDICTING MEDIA MENTIONS WITH A LINEAR PROBABILITY MODEL AND IV, 1997–2002

	Sample size	Objective-by-month FEs	Own-publication advertising	Sample size	Objective-by-month FEs	Own-publication advertising
	Kiplinger's (Positive)			*SmartMoney* (Positive)		
OLS	74,880	178	0.0102**	154,052	420	0.0131***
			(0.0045)			(0.0036)
IV	74,880	178	0.0082***	154,052	420	0.0174***
			(0.0019)			(0.0035)
	Kiplinger's (Negative)			*SmartMoney* (Negative)		
OLS	20,814	44	−0.0014	79,139	201	−0.0006
			(0.0053)			(0.0019)
IV	20,814	44	−0.0004	79,139	201	−0.0005
			(0.0085)			(0.0028)
	Money 100 (Positive)					
OLS	13,645	33	0.0172***			
			(0.0062)			
IV	13,645	33	0.0221***			
			(0.0058)			

In this table we estimate a linear probability model using the same set of investment objective-by-month fixed effects and observations as in Table III. We then reestimate the linear probability model instrumenting own-publication advertising expenditures in one personal finance publication with advertising expenditures in the other two personal finance publications (for example, instrumenting own-publication advertising

6.4 Table IV: IV robustness for media mentions

Read:

- Table IV uses linear probability models and instruments own-publication advertising.
- The IV estimates remain positive and significant for positive mentions in Kiplinger's, SmartMoney, and Money.
- Negative-mention regressions do not show the same pattern.

Economic message: The IV robustness check supports the interpretation that advertising affects editorial mentions, rather than merely proxying for omitted fund quality.

6.5 Table V: fund flows after media mentions

Read:

- Table V estimates fund inflows over the eleven months after a mention.
- Positive mentions are associated with economically meaningful subsequent inflows.
- The effect remains after controlling for lagged fund characteristics and fixed effects.
- Negative mentions do not generate similarly strong positive flow effects.

Economic message: Media mentions have monetary value to fund families. This explains why advertisers may care about being recommended and why publications may have incentives to favor advertisers.

TABLE V

FAMA-MACBETH REGRESSIONS OF FUTURE NET FLOWS ON MEDIA MENTIONS, 1997–2001

		Dependent Variable: Ln net flows (t to $t + 11$)				
Independent Variables:	N	(1)	(2)	(3)	(4)	(5)
Ln fund TNA ($t - 1$)	60	−0.0537***	−0.0548***	−0.0573***	−0.0593***	−0.0595***
		(0.0023)	(0.0022)	(0.0011)	(0.0012)	(0.0012)
Ln family TNA ($t - 1$)	60	0.0225***	0.0226***	0.0230***	0.0234***	0.0197***
		(0.0006)	(0.0005)	(0.0005)	(0.0006)	(0.0010)
Ln net flows ($t - 12$ to $t - 1$)	60	0.1294***	0.1286***	0.1086***	0.1076***	0.1057***
		(0.0141)	(0.0140)	(0.0153)	(0.0150)	(0.0149)
Ln returns ($t - 12$ to $t - 1$)	60	0.6007***	0.5967***	0.5484***	0.5453***	0.5474***
		(0.0559)	(0.0568)	(0.0555)	(0.0578)	(0.0566)
Ln returns squared ($t - 12$ to $t - 1$)	60	0.7558**	0.7470**	0.7136**	0.7137**	0.7221**
		(0.3579)	(0.3556)	(0.3294)	(0.3302)	(0.3343)
Ln returns (t to $t + 11$)	60	0.6682***	0.6687***	0.6996***	0.6977***	0.6972***
		(0.0619)	(0.0615)	(0.0522)	(0.0531)	(0.0540)
Expense ratio ($t - 1$)	60	−0.0185***	−0.0189***	−0.0107*	−0.0109*	−0.0119*
		(0.0052)	(0.0052)	(0.0063)	(0.0065)	(0.0066)
12b-1 fee ($t - 1$)	60	0.0814***	0.0829***	0.0828***	0.0858***	0.1005***
		(0.0108)	(0.0111)	(0.0104)	(0.0112)	(0.0133)
Load fund dummy ($t - 1$)	60	0.0060	0.0076	0.0176***	0.0209***	0.0274***
		(0.0061)	(0.0061)	(0.0049)	(0.0052)	(0.0052)
Family print advertising ratio ($t - 12$ to $t - 1$)	60	−0.0002	−0.0002	−0.0002	−0.0001	−0.0002
		(0.0002)	(0.0002)	(0.0002)	(0.0002)	(0.0002)
Family nonprint advertising ratio ($t - 12$ to $t - 1$)	60	0.0046***	0.0045***	0.0051***	0.0044***	0.0050**
		(0.0014)	(0.0014)	(0.0015)	(0.0014)	(0.0023)

TABLE V

(CONTINUED)

		Dependent Variable: Ln net flows (t to $t + 11$)				
Independent variables:	N	(1)	(2)	(3)	(4)	(5)
Fund-level media mention ($t - 1$)						
WSJ "Fund Track" (News)	60		0.0458***	0.0367***	0.0274***	0.0243***
			(0.0095)	(0.0096)	(0.0100)	(0.0099)
NYT "Investing With" (Positive)	54		0.1845***	0.1507***	0.1480***	0.1504***
			(0.0332)	(0.0323)	(0.0322)	(0.0321)
Money 100 (Positive)	4		0.1138***	0.0944***	0.0849***	0.0840***
			(0.0096)	(0.0083)	(0.0108)	(0.0086)
Kiplinger's (Positive)	36		0.1214***	0.1002***	0.0832**	0.0718**
			(0.0355)	(0.0346)	(0.0361)	(0.0361)
Kiplinger's (Negative)	13		−0.0082	−0.0063	−0.0210	−0.0107
			(0.0664)	(0.0711)	(0.0773)	(0.0800)
SmartMoney (Positive)	60		0.1055***	0.0822***	0.0719***	0.0712***
			(0.0193)	(0.0183)	(0.0176)	(0.0172)
SmartMoney (Negative)	49		−0.0065	−0.0108	−0.0176	−0.0212
			(0.0154)	(0.0150)	(0.0158)	(0.0164)
Consumer Reports (Positive)	6		0.1201***	0.0961***	0.0856***	0.0870***
			(0.0147)	(0.0166)	(0.0210)	(0.0197)
Include investment objective fixed effects?		Yes	Yes	Yes	Yes	Yes
Include Morningstar ratings?		—	—	Yes	Yes	Yes
Include prior fund mentions ($t - 12$ to $t - 2$)?		—	—	—	Yes	Yes
Include family-level mentions ($t - 12$ to $t - 1$)?		—	—	—	—	Yes

Each month between January 1997 and December 2001, we estimate a separate cross-sectional regression. The dependent variable in our cross-sectional regressions is measured as the percentage change in the size of fund i between months t and $t + 11$, minus the fund's return between months t and $t + 11$. All monthly regressions include investment objective fixed effects. Following Fama and MacBeth [1973], we report the time-series mean and time-series standard error for each estimated coefficient. Since many of the control variables are highly persistent, standard errors for the control variables are estimated via Newey and West [1987] with twelve lags. Standard errors for the media mention coefficients are estimated via White [1980]. ("N" indicates the number of cross-sectional regressions in which we were able to estimate the coefficient.) Prior mentions for a given publication are the sum of mentions for fund i in months $t - 12$ to $t - 1$. Family-level mentions exclude mentions for fund i. Significance at the 10 percent, 5 percent, and 1 percent levels is denoted by *, **, and ***.

6.6 Table VI: future returns of mentioned funds

Read:

- Table VI tests whether mentioned funds outperform after being mentioned.
- Positive media mentions do not reliably predict superior future returns.
- Portfolio alphas for mentioned funds are generally not large enough to justify a strong performance-based interpretation.

Economic message: Investors respond to recommendations, but the recommendations do not strongly identify funds with superior future performance.

TABLE VI

FUTURE RETURNS OF MENTIONED FUNDS RELATIVE TO THEIR PEERS, 1997–2002

Media mention:	*WSJ*	*NYT*	*Money*	*Kiplinger's*		*SmartMoney*		*Consumer Reports*
Nature of mention:	News	Positive	Positive	Positive	Negative	Positive	Negative	Positive
Panel A. Full sample of mutual funds								
Fund-level analysis								
Dependent variable:	*Monthly return of fund i minus the equal-weighted average return of all funds with same objective*							
Mentioned between months $t - 12$ and $t - 1$?	−0.069	0.216**	0.119	0.093	−0.384	0.017	−0.211***	−0.055
	(0.091)	(0.107)	(0.095)	(0.061)	(0.275)	(0.076)	(0.078)	(0.052)
Sample size	330,674	330,674	261,202	330,674	330,674	330,674	330,674	314,978
Panel B. Domestic equity mutual funds only								
Fund-level analysis								
Dependent variable:	*Monthly return of fund i minus the equal-weighted average return of all funds with same objective*							
Mentioned between months $t - 12$ and $t - 1$?	−0.071	0.327***	0.144	0.041	−0.306	−0.080	−0.356***	−0.134**
	(0.076)	(0.126)	(0.125)	(0.077)	(0.303)	(0.096)	(0.092)	(0.063)
Sample size	139,998	139,998	113,027	139,998	139,998	139,998	139,998	134,007
Portfolio-level analysis								
Dependent variable:	*Monthly return of an equal-weighted portfolio of funds mentioned between months t − 12 and t − 1 minus the equal-weighted average return of all equity funds*							
CAPM alpha	−0.061	0.141	0.062	−0.060	0.156	−0.047	−0.459***	−0.152*
	(0.093)	(0.148)	(0.173)	(0.089)	(0.498)	(0.154)	(0.134)	(0.091)
Four-factor alpha	−0.072	0.133	0.133*	−0.000	−0.092	−0.026	−0.310**	−0.103
	(0.052)	(0.145)	(0.074)	(0.090)	(0.493)	(0.106)	(0.123)	(0.077)
Sample size	72	72	55	72	72	72	72	68

Panel A focuses on the full sample of U. S. mutual funds (excluding money market funds and mutual funds for which CRSP does not report a ticker for at least one share class during our sample period). Panel B focuses on the subset of domestic equity mutual funds. "Fund-Level Analysis" reports coefficients from an OLS regression of the return of fund i in month t minus the equal-weighted return of funds with the same investment objective, on a dummy variable that equals one if the fund received the media mention between months $t - 12$ and $t - 1$. The dummy variable is defined using media mention data from January 1996 through December 2002. The OLS regression is restricted to January 1997 through December 2002 (and slightly shorter periods in the case of *Money* and *Consumer Reports*). Standard errors are reported below coefficients; they are robust to heteroskedasticity and cluster on investment objective-by-month pairs. "Portfolio-Level Analysis" calculates the equal-weighted return in month t of funds recommended between months $t - 12$ and $t - 1$, subtracts the equal-weighted monthly return for the sample of domestic equity funds, and regresses these monthly portfolio returns on the market return (in excess of the risk-free rate) and other factors. Hence, for each publication, the number of observations is the number of months between January 1997 and December 2002 for which we are able to calculate portfolio returns based on our media mention data. We report the intercepts (alphas) as measures of risk-adjusted returns. Standard errors are reported below coefficients; they are robust to heteroskedasticity. Significance at the 10 percent, 5 percent, and 1 percent levels is denoted by *, **, and ***.

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TABLE VII

ESTIMATING THE IMPACT OF ADVERTISING BIAS ON MENTIONS, 1997–2002

Media mention:	*Money*	*Kiplinger's*	*SmartMoney*
Nature of mention:	Positive	Positive	Positive
Panel A. Fund-level analysis, full sample of mutual funds			
(a) Predicted mentions including own-publication advertising	−0.146*	−0.238**	−0.194*
	(0.086)	(0.100)	(0.115)
(b) Predicted mentions excluding own-publication advertising	−0.158*	−0.238**	−0.225*
	(0.093)	(0.106)	(0.118)
(c) Predicted mentions based on lowest expense ratios	−0.029	0.145**	0.125*
	(0.079)	(0.063)	(0.068)
P-value from test of H_0: (a) = (c)	0.545	0.901	0.331
P-value from test of H_0: (b) = (d)	0.209	0.003***	0.045**
Panel B. Overlap in predicted mentions			
Predicted mentions (a) and (b)	91.5%	77.0%	77.9%
Predicted mentions (a) and (c)	9.7%	1.0%	2.0%

Panel A replicates the analysis from Panel A of Table VI using (a) predicted mentions including the influence of own-publication advertising, (b) predicted mentions excluding the influence of own-publication advertising, and (c) predicted mentions based entirely on which funds have the lowest expense ratio within each investment objective. The dependent variable is the monthly return of fund i minus the equal-weighted average return of all funds with same investment objective. For each type of predicted mention and publication, we report the coefficient on the dummy variable indicating whether fund i received a predicted mention between months $t - 12$ and $t - 1$. Panel B measures the overlap in the sets of funds receiving the three types of predicted mentions.

6.7 Table VII: estimating the cost of advertising bias

Read:

- Table VII compares returns of actual predicted mentions and predicted mentions after removing the advertising-bias component.
- Funds predicted to be mentioned without advertising bias have returns similar to funds predicted with advertising bias.
- Funds selected only by low expenses appear to perform better than the equal-weighted benchmark.

Economic message: Advertising bias changes which funds are recommended, but the direct return cost to readers appears modest. A bigger issue is that publications did not simply recommend the cheapest funds.

7 Short summary

- The paper tests whether advertisers receive favorable editorial treatment in the financial media.
- The setting is mutual fund recommendations, where product characteristics and returns are observable.
- The authors hand-collect mentions from newspapers, personal finance magazines, and Consumer Reports.
- Own-publication advertising predicts positive mentions in personal finance magazines.
- The effect is absent in national newspapers and Consumer Reports.
- Positive mentions generate large fund inflows.
- Positive mentions do not strongly predict future returns.
- Removing predicted advertising bias does not substantially improve future returns.
- The direct reader cost of advertising bias appears small, but recommendations as a whole do not identify superior funds.
- The paper shows that advertiser influence can affect editorial recommendations in financial media.

8 Conclusion

8.1 Core conclusion

Reuter and Zitzewitz provide evidence that advertising influences editorial content in personal finance magazines. Mutual fund families that advertise in a publication are more likely to have their funds positively mentioned in that publication, controlling for fund quality proxies and total advertising.

8.2 Economic intuition

Fund recommendations attract investor flows. Therefore, editorial mentions are valuable to fund families. Publications that depend on advertising revenue face incentives to favor advertisers, especially when many advertiser funds are close substitutes for nonadvertiser funds and when reputational costs of bias are limited.

8.3 Takeaway

The paper links media economics, mutual fund flows, and conflicts of interest. Its central lesson is that editorial independence can be compromised by advertising relationships, even in financial markets where objective product-quality measures are available.